

# THE 2047 LABOUR CODE

WHY THE NEXT PHASE OF LABOUR REFORMS SHOULD AIM TO MODERNISE WORKPLACE REGULATIONS AND FOSTER A MORE DYNAMIC LABOUR MARKET

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**O**N JULY 9, 2025, over 250 million workers participated in a country-wide strike helmed by major central trade unions to protest a number of issues, including labour-related policies. Workers, both formal and informal, from sectors ranging from agriculture, factories and mining to banks and railways, joined, indicating a discontent in the country's diverse and teeming labour force. Some of the issues included rising unemployment, underemployment, consolidation of Labour Codes, lack of labour protection, and shortage of fixed-term employment opportunities.

## A DOUBLE-EDGED SWORD

It was not a one-off strike. Labour issues have proved to be a headache for successive governments with workers taking to the roads time and again.

On the other end of the spectrum, domestic and foreign investors have been seeking a review of India's cumbersome labour laws and copious compliances, some dating back to the pre-Independence era, as part of ease of doing business initiatives, all of which are necessary to attract capital which, in turn, can create jobs; seven to eight million workers join the country's workforce every year.

Creating jobs and ensuring a conducive environment for investors are key asks for the government given that India has seen years of high economic growth but with low job creation and high unemployment rates. However, labour unions and workers say reforms could deprive them even of the few safeguards and little access to social security and insurance they have in their current jobs. Nearly 90% of India's 610-million labour force works in the informal sector, giving them little in terms of job security, retirement benefits, and insurance, even as wages depend on the whims of the employer.